CYCLE WAVE V FROM 1974

Cycle wave V has traced out, over 21 years, the same classic Elliott Wave pattern as the Supercycle has done. As Figure 2-6 shows, the structure faithfully follows all the rules and guidelines of the Wave Principle. Wave ④ holds well above wave ①. Wave ④ is a flat, alternating with wave ②, a zigzag. Waves ③ and ⑤ are both extended, which, though otherwise rare, is characteristic of fifth waves of Cycle degree, such as the bull market of the 1920s. Finally, when the lower line of the trend channel is properly drawn by connecting the termination points of waves ② and ④ as in Figure 2-6, it precisely defines support for the pullbacks within wave ⑤.

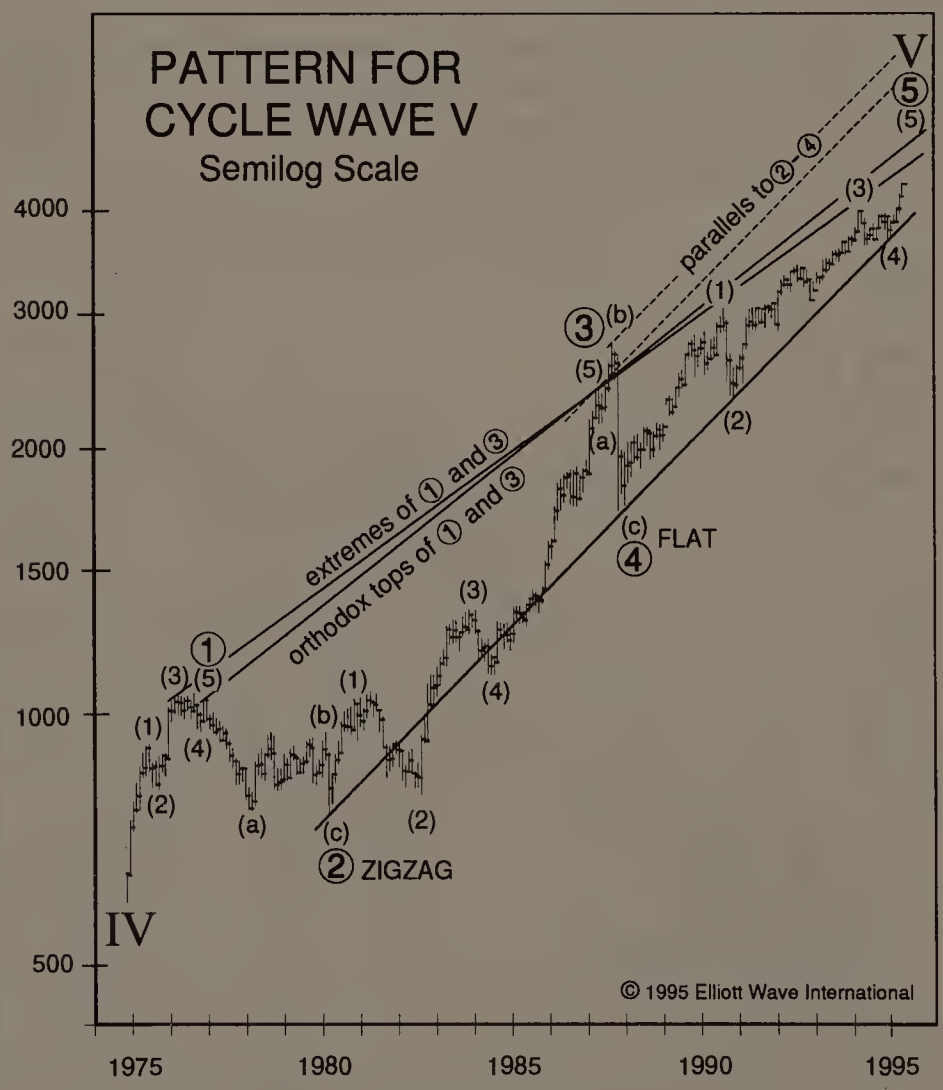

Figure 2-6